

The Economic Inefficiency of the Supreme Court's 1978 Cap on
Non-Pecuniary Damages

By:

Elliott Gale-Wagner

Student Number: 1010124688

elliott.galewagner@mail.utoronto.ca

UofT Economics Club Research Team

Introduction & Roadmap

In *Andrews v. Grand & Toy Alberta Ltd.* ([1978] 2 SCR 229), 21-year-old James Andrews was catastrophically injured in a car accident caused by the negligent driving of an employee of Grand & Toy. Andrews sustained permanent quadriplegia, lost almost all motor function below the neck, and required lifelong attendant care. At trial, Andrews received \$1 million in total damages, which includes amounts for future care, lost earning potential, and pain and suffering. The Alberta Court of Appeal reduced that sum by half. On further appeal, the Supreme Court of Canada restored Andrew's damages to \$817,344, but introduced an unprecedented limit of approximately \$100,000 (\$444,474 inflation-adjusted) on non-pecuniary (i.e., pain and suffering) damages.

Writing for the majority, Justice Dickson offered three sequential justifications for the cap (*Andrews*, 261). First, the Court believed that “no money can provide true restitution” for such harms because “there is no objective yardstick for translating non-pecuniary losses... into monetary terms”. Second, although money cannot remediate suffering, it “can provide for proper care,” which the Court said should be its primary concern instead of awarding limitless compensation for pain. Third, the Court felt obligated to control the “social burden of large

awards,” since this category is “open to widely extravagant claims” and poses the greatest risk of inflating insurance premiums by making catastrophic losses difficult to price and pool across policyholders (*Andrews*, 248). This paper argues that the Court’s cap on non-pecuniary damages is economically inefficient and should therefore be repealed. Each of Justice Dickson’s justifications, on examination, either fails on its own terms or is demonstrably worsened by the cap it defends. The analysis proceeds in three parts, each responding directly to one of Justice Dickson’s claims.

Money as a Proxy

To succeed in a negligence claim, the victim must establish three elements: (i) the injurer owed them a duty of care; (ii) the injurer breached that duty; and (iii) the victim suffered harm. Because no market exists for pain and suffering, its monetary value cannot be determined by standard dynamics of supply and demand. Tort law must therefore estimate non-pecuniary losses by comparing the victim’s pre- and post-injury states and inferring the resultant decline in utility. This comparison is necessarily subjective: it considers the degree to which the victim is made worse off, as revealed by their choices and behaviour, rather than by an objective or external measure. An avid hiker who suffers a spinal injury and can no longer hike, for example, experiences a decline in well-being that no medical chart can communicate, but that a jury is nonetheless expected to consider when awarding case-specific damages. These awards serve two objectives: to compensate the specific victim and to minimize social costs more broadly. Together, they ensure that a reasonable person in the injurer’s position would have had sufficient incentive to take the precautions necessary to prevent the accident.

A tort is perfectly compensated when the damages awarded restore the victim to the same level of well-being they would have enjoyed but for the injury. Figure 1 models this harm and the effect of the Court's damages cap:

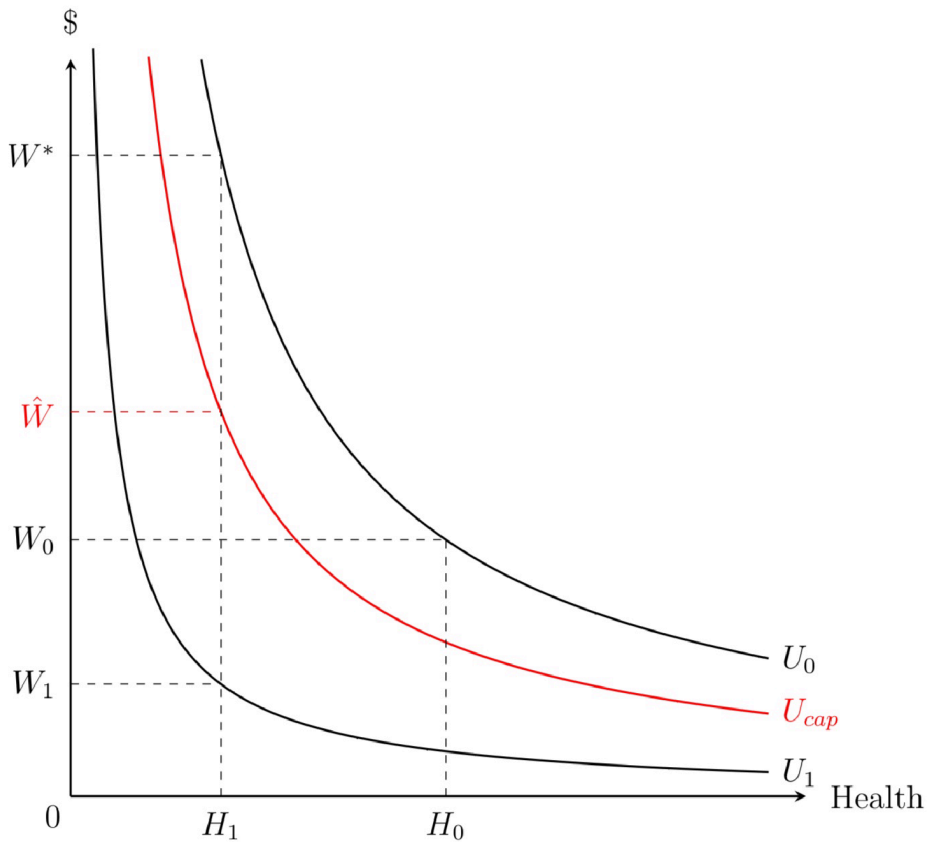


Figure 1

Harm is represented as a downward shift in the victim's utility curve caused by a reduction in health. Higher utility curves correspond to greater well-being, and their convexity reflects the victim's willingness to trade health for money while remaining equally well off. Before the accident, the victim enjoyed health H_0 and wealth W_0 , a point along the higher indifference curve U_0 . After the accident, their health falls to H_1 ,

and the victim is strictly worse off on the lower indifference curve U_1 . Without a cap, perfect compensation would require the injurer to pay the victim the difference between W^* and W_1 , restoring the victim to their pre-injury utility. The damages cap becomes binding when the victim's non-pecuniary loss exceeds the Court-established ceiling. In that case, compensation is limited to the difference between W_1 and $\hat{W}$. Because this difference is less than the amount needed to reach U_0 , the victim's post-compensation utility settles at an intermediate U_{cap} .

The damages cap thus creates a two-tiered system: victims whose losses fall below the cap are fully compensated, while those who suffer catastrophic losses receive the same fixed award and must absorb the remainder themselves. This is inefficient. Non-pecuniary damages serve the same restorative purpose as damages for physical loss, they simply require a less objective measurement. Case-by-case unrestricted assessment by a judge and jury is more efficient. It allows awards to approximate each victim's true loss, and punishes injurers for the full cost of their negligence.

Care > Damages

All non-pecuniary damages were capped for 18 years before the Supreme Court, and lower courts adopting its reasoning, began to restrict the cap's application to catastrophic physical injuries caused by negligence. In *Hill v. Church of Scientology* ([1995] 2 SCR 1130), the Court upheld a \$300,000 non-pecuniary damages award for reputational harm and explicitly held that "no cap should be placed on general damages for defamation" (*Hill*, p. 1134). In *S.Y. v. F.G.C.* (1996 BCCA), the plaintiff was a survivor of prolonged childhood sexual abuse and was awarded \$350,000 in non-pecuniary damages. On appeal, the defendant argued that the damages cap applied equally to sexual assault victims. The Court of Appeal rejected this argument and held that Dickson's concerns about the social burden of large awards, particularly on the insurance system, were features of catastrophic negligence cases, not intentional torts (*S.Y.*, para. 30). The Court further recognized that sexual assault victims may "require and deserve more than the 'cap' allows, due to the unpredictable impact of the tort on their lives" (*S.Y.*, para. 31) and emphasized that judges and juries must be free to determine what is fair given the uniquely personal and variable harms caused by such abuse.

These exceptions reinforce the earlier conclusion that, despite having instituted the cap, courts themselves recognize its unfairness in cases of catastrophic injury. Once pecuniary losses have been compensated, there is no consistent justification for restricting restoration of the remaining loss in utility. Figure 1 shows how tort awards separate losses into two components: pecuniary damages that restores the victim's healthcare costs and lost earnings (wealth axis), and non-pecuniary damages that compensate for the loss in quality of life that persists after physical recovery (health axis). When both physical health and utility decline, compensation must include both heads of damages; when physical health is not significantly impaired, but utility decreases due to psychological harm, compensation must include non-pecuniary damages alone. In both *Hill* and *S.Y.*, physical injury, and therefore pecuniary damages for healthcare costs, was either non-existent (defamation) or minimal relative to the psychological harm (sexual assault). Yet the total awards were substantial because the courts recognized non-pecuniary loss as independent, compensable harm. The only remaining justification for the Court's asymmetrical treatment of non-pecuniary loss across intentional and unintentional torts is a policy choice aimed at protecting the insurance system from excessive strain.

Excessive Statistical Burden

The Court's continued cap on non-pecuniary damages unintentionally maintains the very social burdens it sought to prevent, for three reasons: (1) the cap systematically reduces the total expected accident costs borne by the injurer, thereby limiting precautionary investment, because; (2) rational injurers set precaution exactly at the legal standard; and (3) mispriced insurance premiums cause low-risk individuals to excessively subsidize high-risk individuals.

The economic objective of tort law is to minimize the social costs of accidents. In the particularly illustrative case of *Bolton v. Stone*, the plaintiff was struck by a stray cricket ball

outside her home. To determine whether the cricket ground's owner breached his duty of care to the public, the court considered three factors: (i) the likelihood of damage; (ii) the seriousness of harm; and (iii) the cost of preventative measures. To achieve this, Courts set the duty of care at the level of precaution where the marginal cost of precaution equals the marginal benefit of reduced expected harm, that is, the probability of harm materializing multiplied by its seriousness. Below this threshold, defendants are liable, having failed to take precautions whose benefits would have outweighed their costs; above it, they are not. Had the cricket ground been a javelin training facility instead, the dramatically greater expected harm would have raised the duty of care accordingly, requiring the defendant to incur greater precautionary costs. This threshold is determined graphically by Figure 2 and formally by the Hand formula in Figure 3.

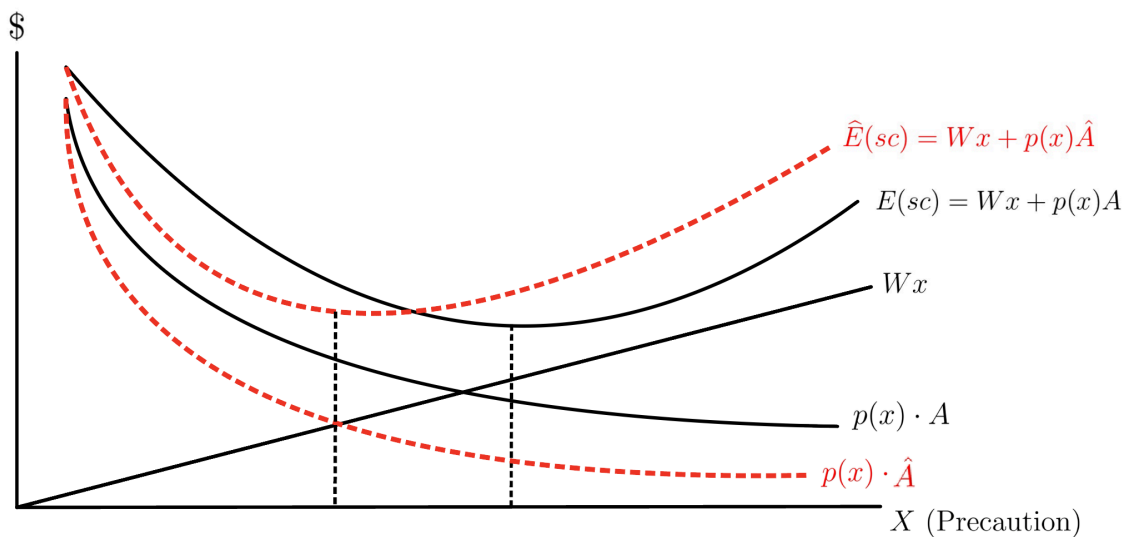


Figure 2

Figure 2 explains how the non-pecuniary damages cap reduces the injurer's incentive to take precautions. x denotes the level of precaution (e.g., driver education, guardrails, signage, etc.), w is the per-unit cost of precaution to the injurer, so wx represents the total private cost of precaution. $p(x)$ is the probability of an accident occurring given a chosen level of precaution, and is inversely related to precaution (i.e., as safety increases, accidents decrease). A is the

magnitude of harm in dollars, so $p(x)A$ represents the expected social harm: the probability-weighted cost of accidents borne by the victim. Both curves represent costs borne by different parties, so the expected social cost is their sum, $E(SC) = wx + p(x)A$, minimized at x^* , the socially optimal level of precaution.

When non-pecuniary damages are capped at $\hat{A} < A$, the cap artificially reduces the damages the injurer must internalize, lowering the expected harm to $p(x)\hat{A}$. The expected social cost curve therefore decreases to $\hat{E}(SC) = wx + p(x)\hat{A}$, minimized at the new misspecified optimal $\hat{x}$. At $\hat{x}$, precaution is undersupplied, causing catastrophic accidents to occur more frequently, leaving victims to absorb the uncompensated difference between A and $\hat{A}$, a cost the injurer no longer has any incentive to prevent.

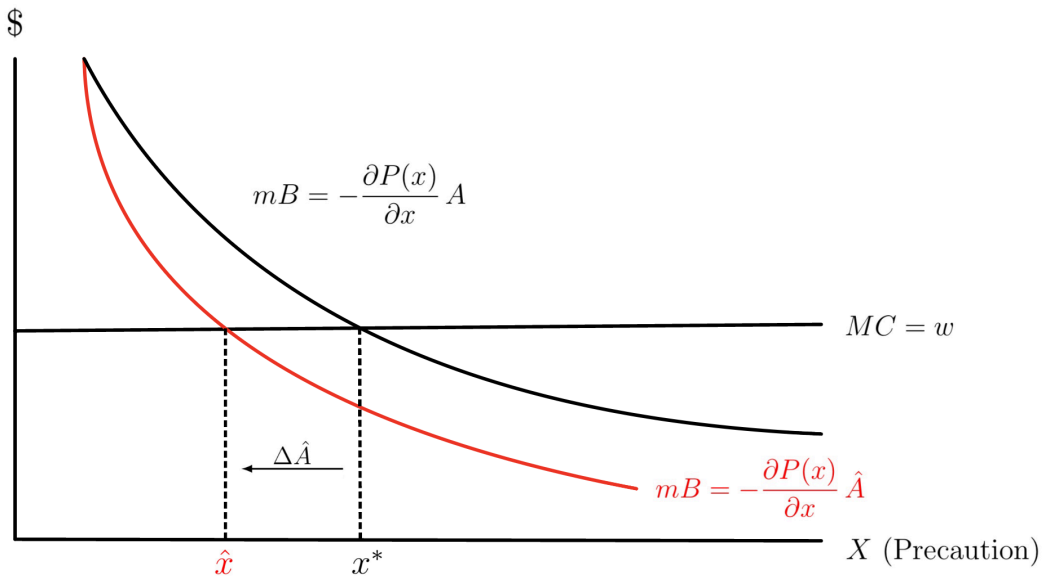


Figure 3

Figure 3 presents the Hand formula, which determines the efficient duty of care. The marginal cost of precaution is constant at $MC = w$, while the uncapped social marginal benefit of precaution is $-p'(x)A$, which exhibits diminishing marginal returns as additional precautions

reduce the probability of accidents by progressively smaller amounts. The efficient level of precaution x^* occurs where marginal benefit equals marginal cost, at which point the injurer fully internalizes the risk his activity imposes on others. When damages are capped, the marginal benefit becomes $-p'(x)\hat{A}$, intersecting the marginal-cost curve earlier at $\hat{x}$.

Rational injurers set precaution exactly at the legally specified duty of care, so a misspecified standard systematically overproduces accidents and underproduces precaution. Figure 4 visualizes this by plotting the injurer's expected private cost as a function of his chosen level of precaution when a negligence suit is brought.

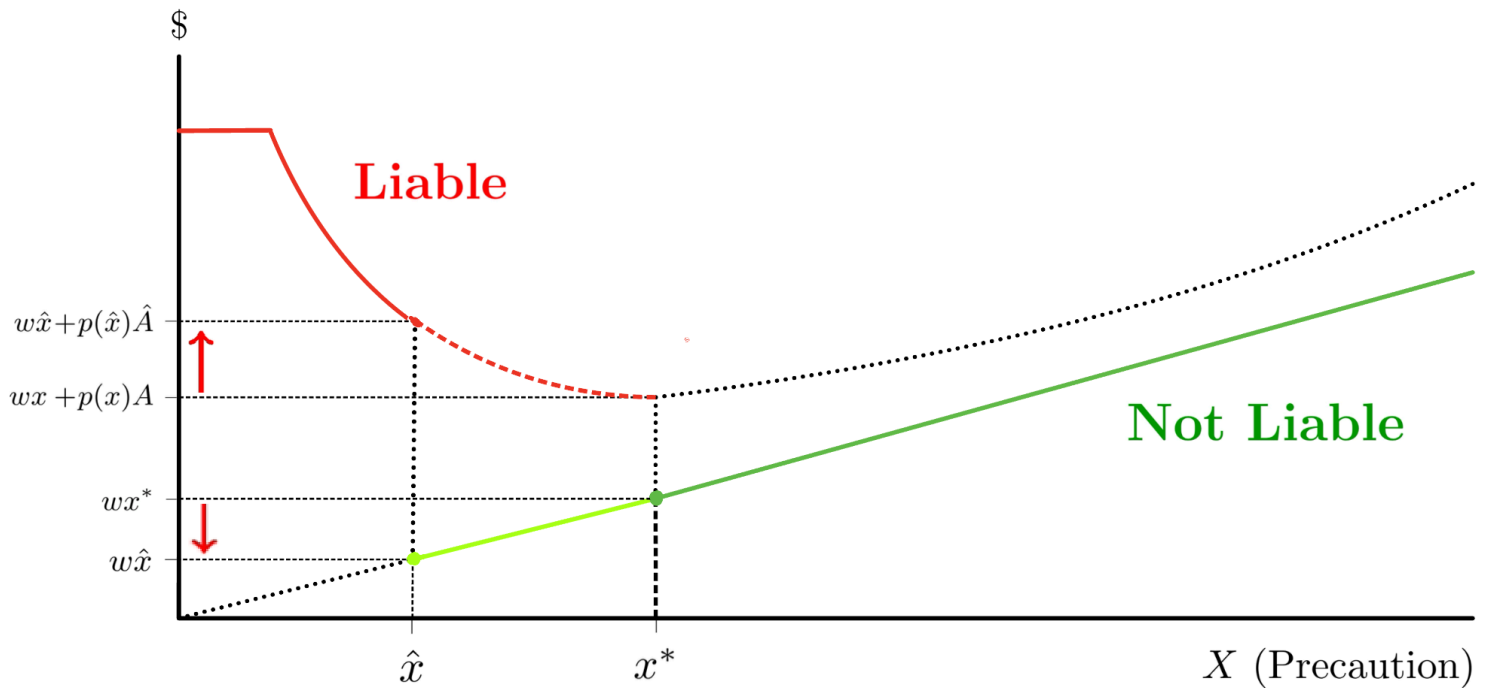


Figure 4

The solid red curve to the left of $\hat{x}$ represents the portion of the injurer's capped expected cost curve when he breaches the misspecified duty of care: his expected cost is $w\hat{x} + p(\hat{x})\hat{A}$. Once he meets the duty of care at $\hat{x}$, he can no longer be found liable, and his expected cost falls to $w\hat{x}$, represented by the lime green line. The dashed red curve and solid dark-green line show

the counterfactual under an uncapped duty of care set at $\hat{x}^*$. At the duty of care, there is a jump discontinuity (a small change in precaution produces a large change in expected costs), such that:

$$E(\hat{x}^-) = w(\hat{x}^-) + p(\hat{x}^-)\hat{A} > w(\hat{x}^+) = E(\hat{x}^+)$$

Because meeting the duty of care causes the injurer's expected cost to plummet, and further precaution only raises cost without reducing liability, a rational injurer chooses precaution exactly equal to $\hat{x}$.

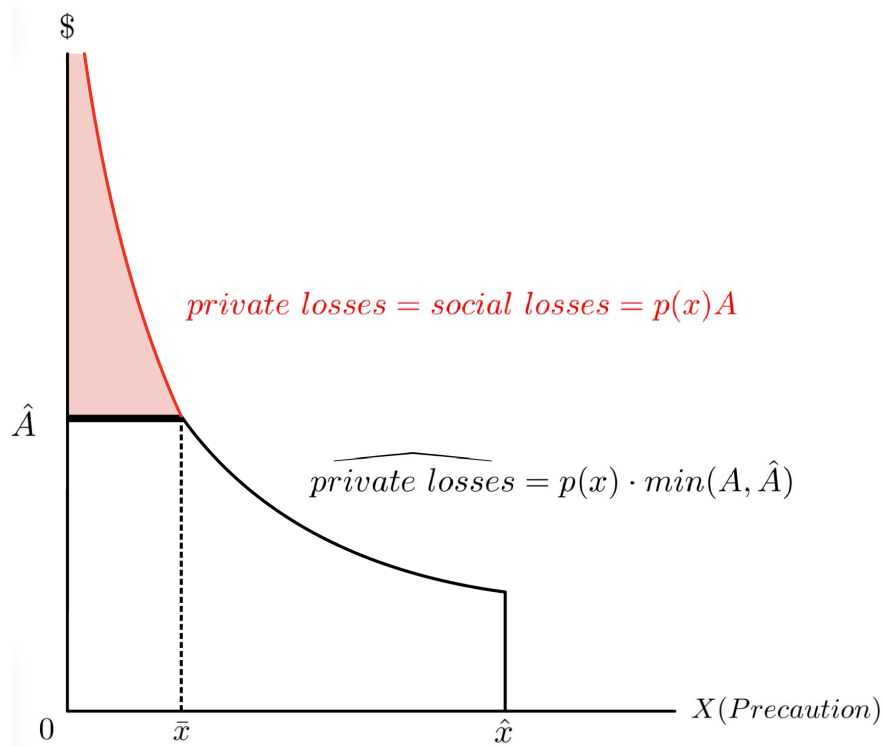


Figure 5

Figure 5 shows how the damages cap truncates private losses and externalizes the remaining harm onto victims and insurance pools. Insurers price premiums to cover expected losses, but this calculation is distorted by two confounding effects: the lower duty of care induced by capped damages, and the cap itself. Formally, insurers must set premiums such that:

$$Total\ Expected\ Loss = N_{Policy\ Holders} \cdot \uparrow Claim\ Frequency \cdot \downarrow Payout\ Per\ Claim + Administrative\ Costs$$

The probability of a claim increases because injurers take less precaution, while the average payout per claim decreases because damages are capped.

High-risk individuals are disproportionately more likely to purchase insurance, skewing the pool's aggregate risk above what insurers anticipated. Insurers attempt to mitigate this by asking risk-proxy questions (e.g., do you use cruise control?), but they can still only estimate true risk types. Once damages are capped and the insurer's maximum payout per claim is fixed, this approximation becomes even more difficult. Although insurers can still price premiums based on total expected loss, the cap truncates the upper tail of claims and reduces payout variance, making efficient price discrimination between risk types harder. As a result, premiums for low and high-risk individuals converge at a higher rate. For mandatory insurance programs that already cross-subsidize losses across risk types, the cap worsens these distorted rates: low-risk individuals pay more and high-risk individuals pay less than their expected harms. Even worse, below $\bar{x}$, where the cap truncates expected private losses, the injurer's private marginal cost of risk-taking is zero. Since risky activity tends to yield positive private marginal benefits, injurers will over-engage in it, increasing both accidents and externalized costs. The shaded region in Figure 5 represents this externalized harm, absorbed by inflated insurance premiums and uncompensated victim losses.

Finally, insurers will cover fewer catastrophic harms and underinvest in precautionary technology because the cap reduces their incentive to prevent large losses. Under the Hand formula, extremely rare accidents do not typically generate a duty of care unless the potential loss is very large ($B < PL$). Capping large non-pecuniary losses therefore removes the possibility that such rare but catastrophic harms will justify efficient duties of care ($B > \bar{PL}$). To preserve

both the efficient duty of care and the damages cap, courts must instead rely on non-economic rationales, which are unlikely to consistently identify efficient levels of precaution.

Conclusion

The Court's cap on non-pecuniary damages reduces injurer liability and guarantees systematic undercompensation for the catastrophically injured. Although the Court has narrowed the cap's application to unintentional physical injury torts, there is no principled basis for treating the lifelong suffering of a person with quadriplegia as a less serious harm than the psychological injury suffered by victims of defamation or sexual assault. Beyond the injustice to victims, the cap lowers expected accident costs and produces a misspecified duty of care that induces rational injurers to take fewer precautions, increasing both the frequency and severity of preventable accidents. The Court's policy justification, that the cap is necessary to control insurance premiums, has proven unfounded, or at the very least inconclusive. The cap in fact misprices premiums by flattening observable risk distinctions, encouraging excessive risk-taking, and worsening cross-subsidization. Because the cap is both economically inefficient and undermines its own justification, it should be repealed.

Bibliography:

Andrews v. Grand & Toy Alberta Ltd., 1978 CanLII 1 (SCC), [1978] 2 SCR 229,

<https://canlii.ca/t/1mkb5>

Hill v. Church of Scientology of Toronto, 1995 CanLII 59 (SCC), [1995] 2 SCR 1130,

<https://canlii.ca/t/1frgn>

Robert Cooter & Thomas Ulen, Law and Economics, 6th ed (Boston: Addison-Wesley, 2012)

S.Y. v. F.G.C., 1996 CanLII 6597 (BC CA), <https://canlii.ca/t/1nk4b>

Bolton and Others v. Stone [1951] AC 850, [John Wiley Bolton and Others v Stone \(1951\) AC](#)

[850](#)